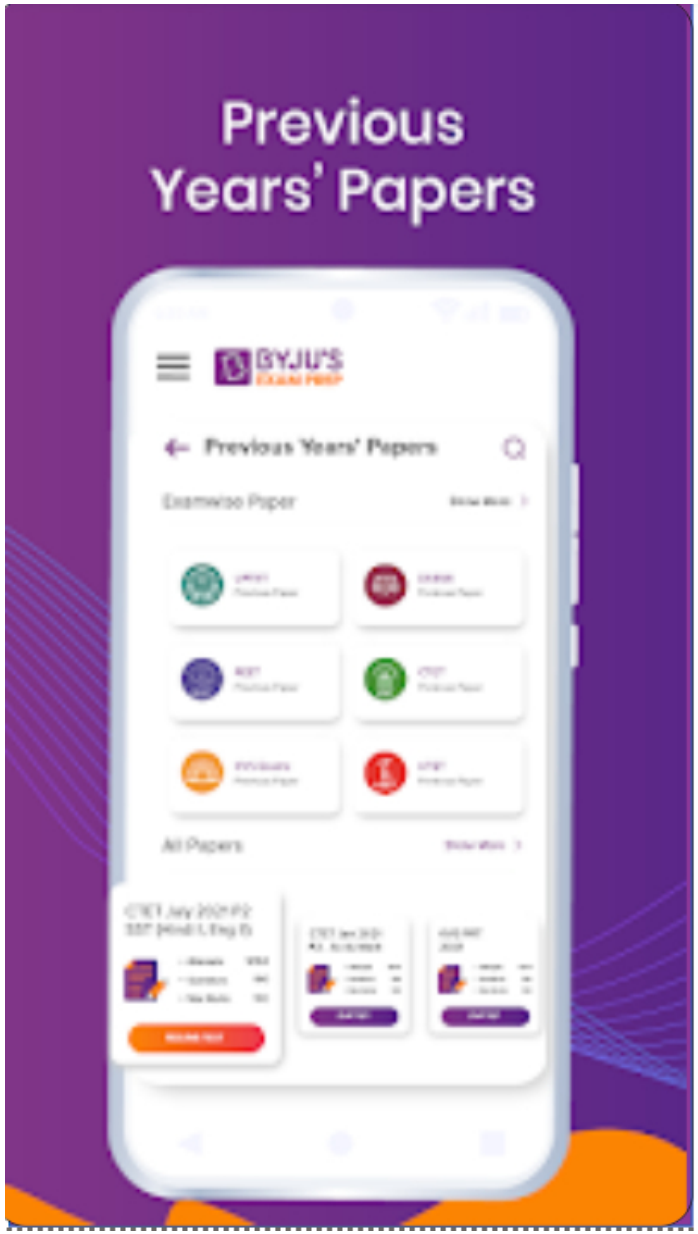


BYJU'S

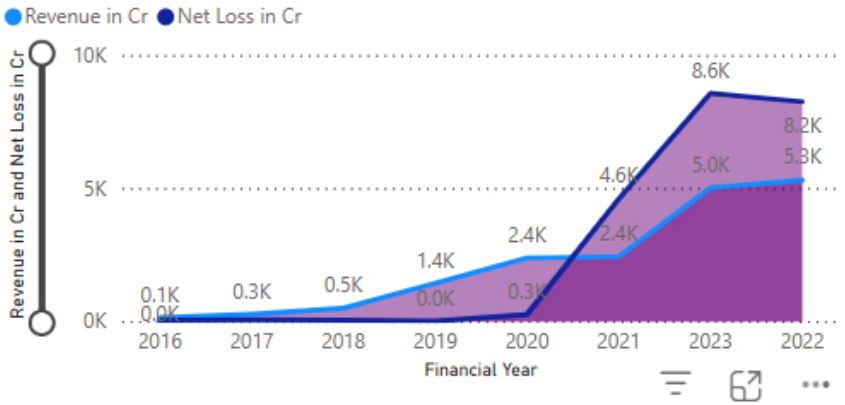
BYJU'S Collapse Case Study: Why India's Most Valuable EdTech Startup Failed.



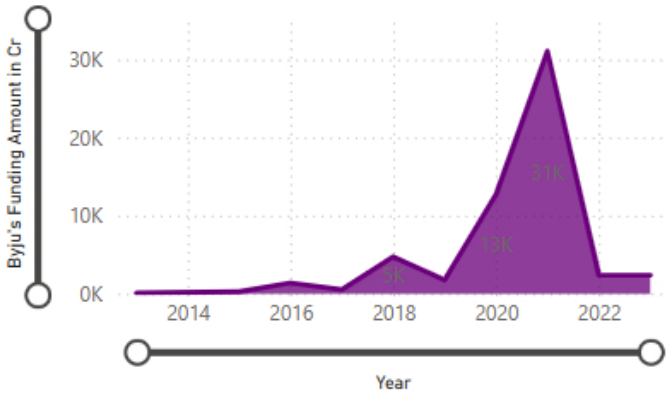
Executive Summary

57.21K	63K	17K	22K	350K
Byju's Funding Amou...	Maximum Employee ...	Total Byju's Revenue ...	Net Byju's Loss in Cr	Byju's Valuation in Cr

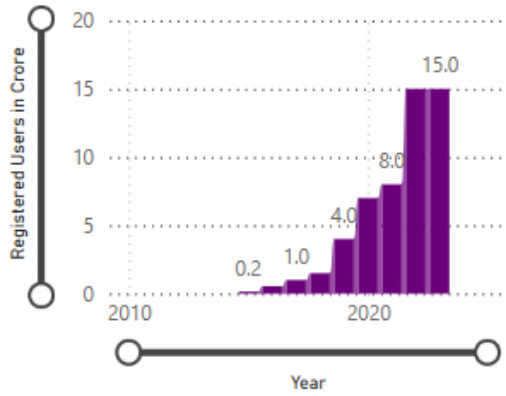
Revenue and Loss



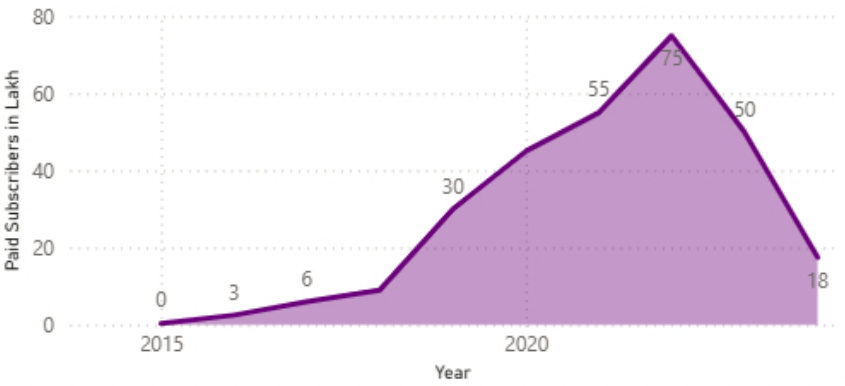
Byju's Funding Amount



Registered Users Growth



Paid Subscribers Growth



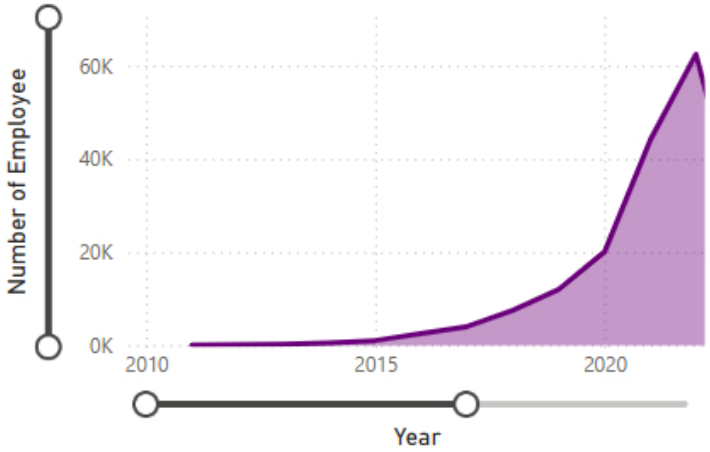
- Raised over **₹57,000 crore** through multiple funding rounds.
- Reached a peak valuation of **₹350,000 crore**, becoming the world's most valuable EdTech company.
- Expanded rapidly with **63,000 employees** and a growing user base.
- Rising losses and unsustainable spending eventually resulted in financial distress.

"BYJU'S achieved extraordinary growth, but aggressive expansion and rising losses ultimately led to its collapse."

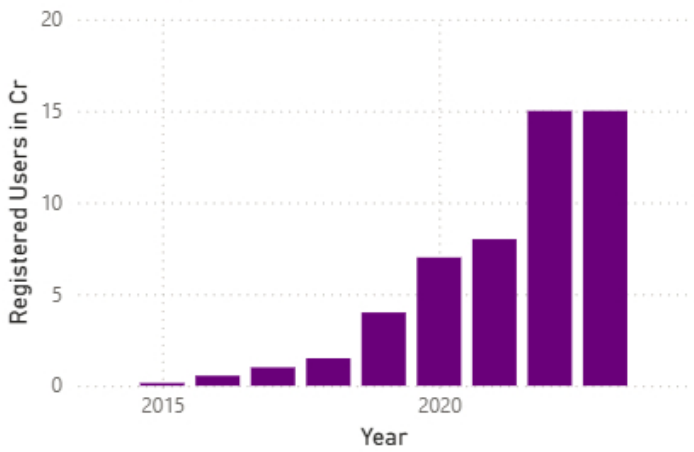
The Rise of BYJU'S

17K	9	11	350K	57.21K
Revenue in Cr	Registered Users in Crore	Paid Subscribers in Lakh	Valuation in Cr	Funding Amount in Cr

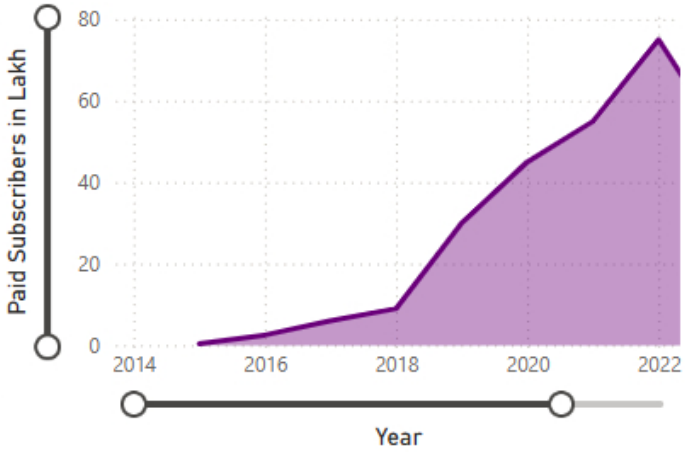
Employee Growth Timeline



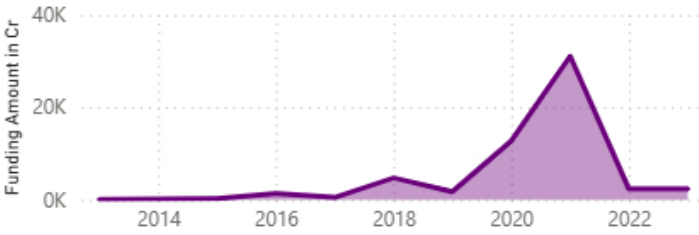
Growth in Registered Users



Paid Subscribers Trend



Funding Growth Timeline



Key Highlights:

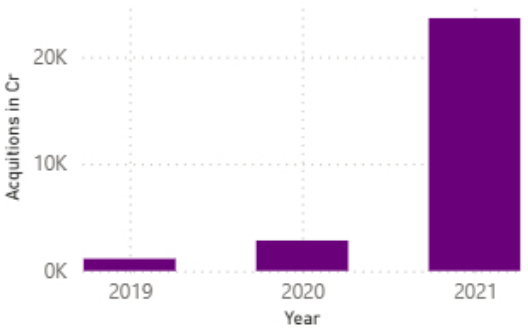
- Strong demand accelerated digital learning adoption.
- User base and paid subscriptions grew rapidly.
- Continuous funding supported aggressive expansion.
- Revenue growth strengthened market leadership.
- BYJU'S became the world's most valuable EdTech company.

"Strong demand, rapid user growth, and continuous innovation transformed BYJU'S into India's leading EdTech giant."

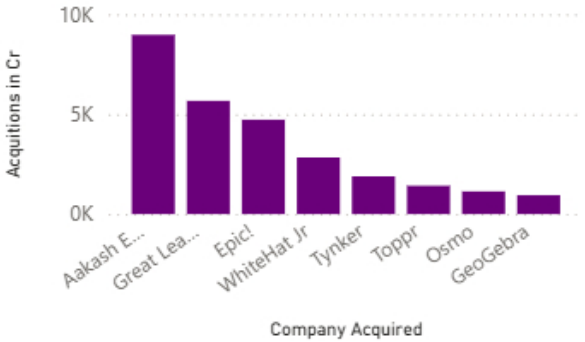
Aggressive Expansion & Acquisitions

13	27.59K	6K	28.08K	-4K
Companies Acquired	Total Acquisition Cost(₹ Cr)	Marketing Spend (₹ Cr)	Total Acquisition Value (₹ Cr)	Net Acquisition Loss (₹ Cr)

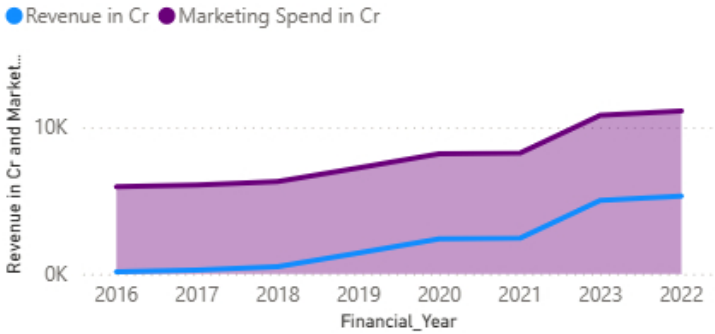
Acquisition Timeline



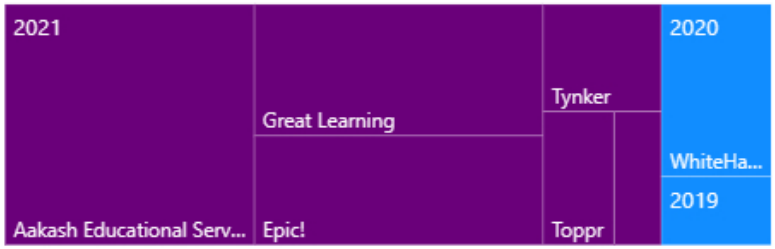
Acquisition Cost by Company



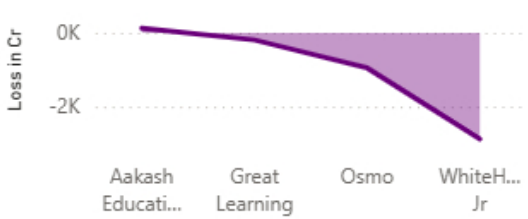
Revenue vs Marketing Spend



Top Acquisitions



Acquisition Loss



Key Highlights:

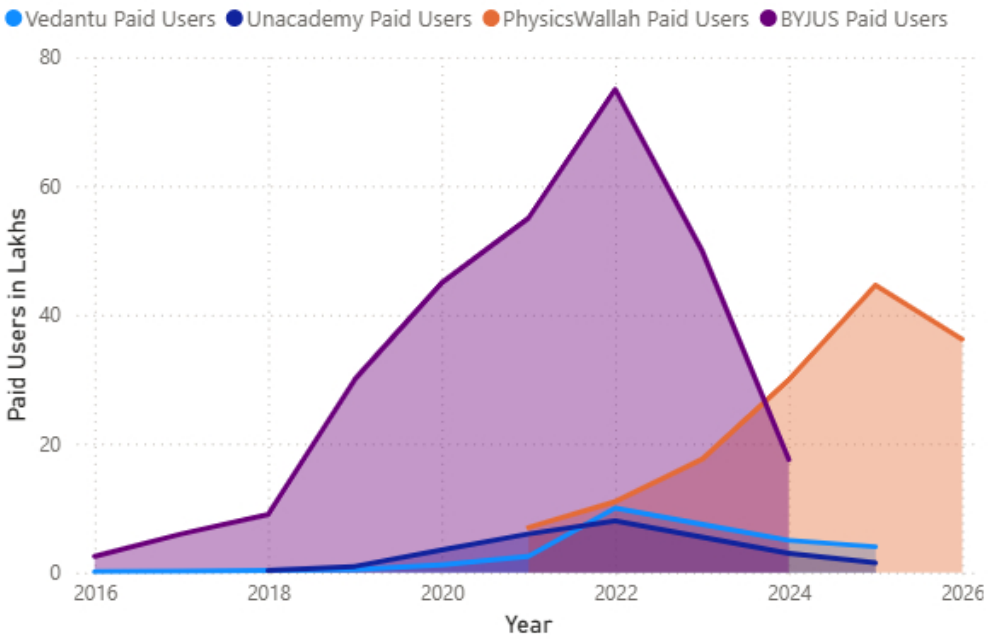
- BYJU'S pursued aggressive expansion through acquisitions.
- Marketing expenditure increased significantly after 2019.
- Multiple subsidiaries increased operational complexity.
- Rapid expansion created financial pressure.
- Growth became increasingly dependent on external funding.

"Aggressive acquisitions and excessive spending accelerated growth, but they also laid the foundation for BYJU'S financial crisis."

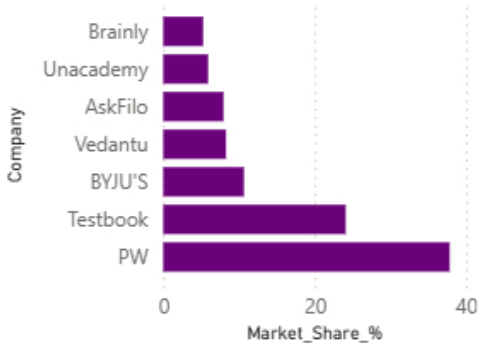
Warning Signs & Competitive Landscape

10.65	290.00	146.30	28.75	31.32
BYJUS Market Share	BYJUS Paid Users in Lakh	PhysicsWallah Paid Users inL...	Unacademy Paid Users in Lakh	Vedantu Paid Users in Lakh

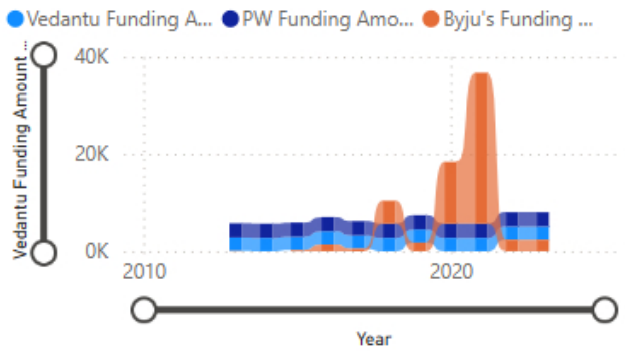
User Growth Comparison



Market Share Comparison



Funding Comparison



Key Highlights:

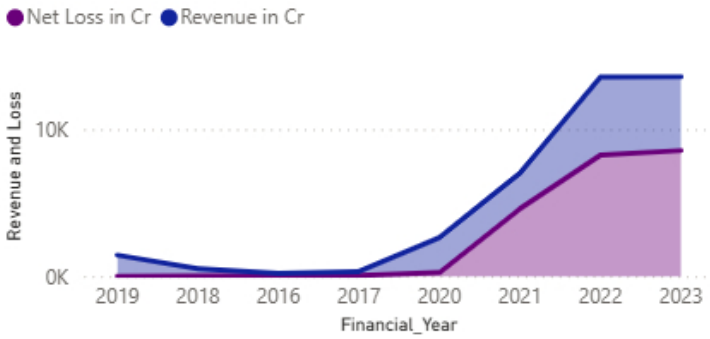
- Competition intensified after 2020.
- Physics Wallah adopted a lean and sustainable growth strategy.
- BYJU'S depended heavily on funding and acquisitions.
- Competitors expanded with lower operating costs.
- Warning signs became increasingly visible before the collapse.

"As competition intensified, BYJU'S reliance on funding and aggressive spending exposed weaknesses in its business model."

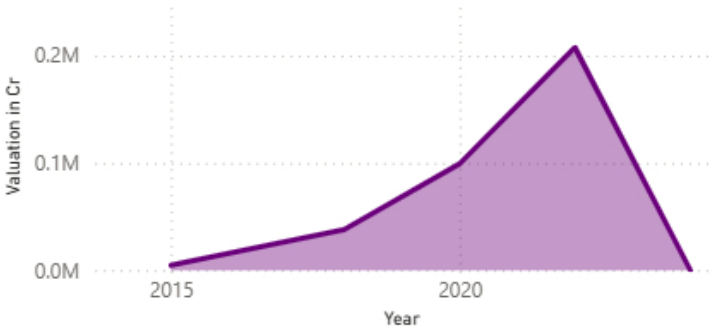
Why BYJU'S Collapsed

22K	72K	-4K	39K	28.08K
Sum of Net_Loss_Cr	Sum of Total_Liabilities_Cr	Sum of Profit_Loss_Cr	Sum of Total_Expenditure_Cr	Sum of Acquisition_Value_Cr

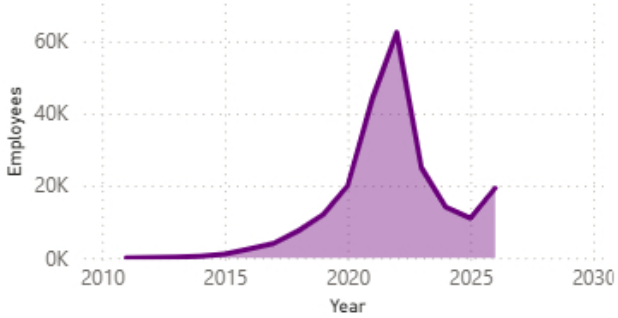
Revenue vs Net Loss



Valuation Rise vs Crash



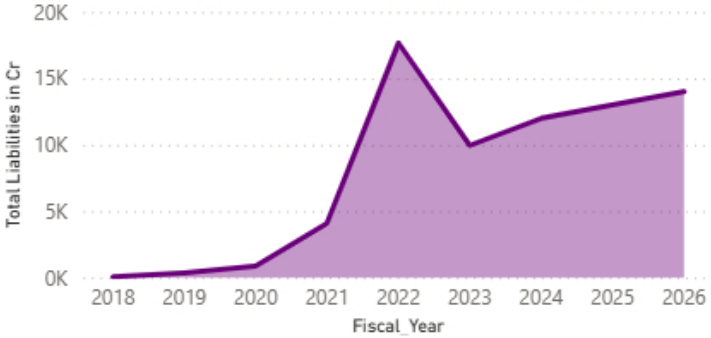
Layoffs Timeline



Acquitions in Cr



Debt



Key Highlights"

- Losses grew significantly faster than revenue.
- Marketing and acquisition spending increased financial pressure.
- Several acquired companies underperformed expectations.
- Heavy dependence on external funding weakened sustainability.
- Governance and audit concerns reduced investor confidence.

"BYJU'S collapse was driven not by a lack of growth, but by unsustainable spending, failed acquisitions, and weak financial

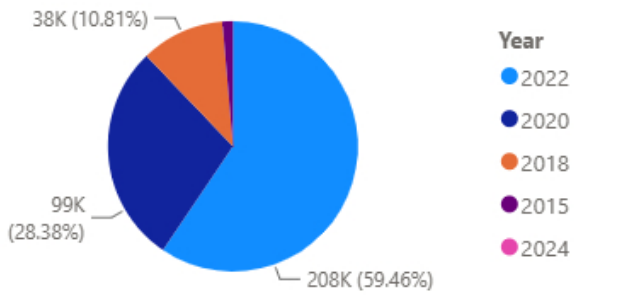
Lessons Learned & Recommendations

350K	57.21K	22K	13	10.65
Valuation in Cr	Funding Amount in Cr	Net Loss in Cr	Company Acquired	BYJUS Market Share

Financial_Year	Sum of Net_Loss_Cr	Sum of Revenue_Cr
2023	8553	5015
2022	8245	5298
2021	4588	2428
2020	250	2381
2017	62	260
2016	49	143
2018	37	490
2019	9	1430
Total	**21793**	**17445**

Company Acquired	Sum of Acquitions_Cr
Aakash Educational Services	8,975.60
Epic!	4,724.00
GeoGebra	944.80
Great Learning	5,668.80
Osmo	1,133.76
Toppr	1,417.20
Tynker	1,889.60
WhiteHat Jr	2,834.40
Total	**27,588.16**

Sum of Valuation_Cr by Year



Lessons Learned:

- Sustainable growth is more important than rapid growth.
- Revenue growth must be supported by profitability.
- Acquisitions require careful integration and monitoring.
- Strong governance is essential for investor confidence.
- Cash burn should be controlled even during expansion.

Recommendations:

- Focus on profitable growth.
- Reduce dependence on external funding.
- Improve acquisition due diligence.
- Maintain transparent financial reporting.
- Monitor ROI on marketing expenditure.

Final Conclusion:

BYJU'S became one of the world's most valuable EdTech companies through innovation, funding, and aggressive expansion. However, rising losses, excessive spending, and acquisition-related challenges ultimately outweighed its growth. The case demonstrates that sustainable business fundamentals are more important than valuation alone.

"Valuation creates headlines, but profitability creates longevity."